WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

DJIBOUTI

Africa

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Djibouti City	Capital and services hub at the southern entrance of the Red Sea, home to government, banking and a large international presence, including French, US and Chinese military facilities	Financial services, trade, real estate, hospitality
Doraleh port complex	Djibouti's largest port facilities: the Doraleh Multipurpose Port and the Doraleh Container Terminal, which handles about 1.2 million TEU a year and can now serve vessels of up to 23,000 TEU	Port logistics, transshipment, bulk handling, warehousing
Djibouti International Free Trade Zone (DIFTZ)	Africa's self-described largest free trade zone, hosting 513 enterprises by March 2026 (up 22% year-on-year) with land utilisation of 70%	Assembly, manufacturing, distribution, trade
Djibouti–Addis Ababa railway and corridor	753 km rail link to Ethiopia that cuts freight transit to under 20 hours; the corridor carries over 90% of Ethiopia's trade	Rail and road logistics, dry ports, cross-border trade
Tadjourah (north)	Port opened in 2017 for ships of up to 65,000 dwt, designed to handle up to 4 million tonnes of potash a year and offered to Ethiopia as an additional outlet	Mining exports, bulk logistics, corridor development
Damerjog	Southern industrial area hosting the DDID commercial free zone, opened in 2013, and a port industrial zone being developed with a new oil jetty	Energy storage, industry, free-zone activities
Lake Assal, Ghoubet and Lake Abbe	Distinctive natural assets, including Africa's lowest point on land and whale shark sightings, alongside the Goubet salt port	Tourism, salt, renewable energy

INVESTOR ENTRY ROUTES

- National Investment Promotion Agency (NIPA, est. 2001) and its Guichet Unique one-stop shop for registration and approvals, with registration stated to take as little as 72 hours; policy is overseen by the Secretariat of State for Investment and Private Sector Development

- Investment Law of 16 October 1994, granting equal treatment of local and foreign investors, no local-partner requirement, free repatriation of profits and protection against expropriation without equitable compensation, with tiered tax incentives for projects above DJF 5 million and DJF 50 million
- Free zones under Law No. 53 of 17 May 2014, offering exemption from most direct and indirect taxes for up to 50 years and duty-free import, including the DIFTZ, the Djibouti Free Zone (40 hectares, 318 companies) and the DDID zone at Damerjog
- Djiboutian franc fixed at DJF 177.71 per US dollar under a currency board, with no foreign exchange restrictions and free transfer of profits
- International dispute resolution through the ICSID Convention (in force since July 2020) and the New York Convention, plus bilateral investment treaties with France, Kuwait, Switzerland and Türkiye
- Private power generation through power purchase agreements with the state utility, with around 10 MW of off-grid solar deployed by private investors since 2022
- Sector entry is largely open, with foreign-ownership limits in maritime transport support, security services and insurance, and telecoms, water and electricity distribution held by state-owned enterprises

MARKET-ENTRY OBSERVATION

Djibouti in October 2026 is a fast-growing services economy built on one of the world's most strategic maritime positions. GDP grew an estimated 6.5% in 2025, led by port operations, logistics, construction, transport, telecoms and trade, and the World Bank and African Development Bank project growth of 5.9% and 6.5% respectively in 2026. Inflation fell to around zero in 2025 and is forecast at 2.4% in 2026, anchored by the dollar peg, while fiscal consolidation brought the budget close to balance in 2025 and public debt below 65% of GDP. FDI inflows recovered to $149 million in 2025 from $68 million in 2024, and the DIFTZ added 22% more enterprises in the year to March 2026. The National Development Plan 2025–2030 and Vision 2035 prioritise energy and digital, and a September 2026 World Bank diagnostic found that targeted reforms could unlock at least $600 million of private investment and around 12,000 jobs over five years in off-grid solar, data centres and tourism.

Djibouti's main structural characteristic is its concentration on port and logistics services and on the Ethiopian corridor, which carries more than 90% of Ethiopia's trade. Port traffic dipped 10.5% in the first half of 2025 on lower transshipment, and 2026 disruptions in the Red Sea and the Strait of Hormuz have raised freight and energy costs. Djibouti has responded with practical resilience: its six ports have absorbed vessels diverted from the Gulf without congestion, Ethiopian cargo has been given priority, and the Doraleh Container Terminal has added ultra-large-vessel cranes. Regional ports such as Berbera and Lamu are expanding, but the IMF expects Ethiopia's growth and joint infrastructure projects to sustain demand for Djibouti's services. The government is also broadening the base: eight submarine cables position Djibouti as a regional digital hub with data-centre capacity nearing full utilisation, and renewable energy, tourism and the free zones offer diversification opportunities in which early investors can secure a strong position.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Concentration on port services and the Ethiopian corridor	Port and logistics activity dominates the economy and Ethiopia takes around three-quarters of exports, so regional trade cycles feed directly into growth	Ethiopia's expanding market and joint infrastructure projects underpin demand; investors can diversify across free-zone, energy and digital activities
Red Sea and Gulf shipping disruptions	Regional tensions in 2026 have raised freight and energy costs, with regional container rates rising from about $3,000 to $10,000	Djibouti lies south of Bab el-Mandeb and has absorbed diverted Gulf traffic; build freight-cost scenarios into logistics-dependent plans
Regional port competition	Berbera, Lamu and other routes are seeking a share of Ethiopian trade, and port traffic dipped on lower transshipment in H1 2025	Djibouti's deep-water capacity, rail link and Tadjourah offer to Ethiopia strengthen its position; joint port development is supported by the IMF
Public debt and reserve buffers	Public debt is mainly external and more than half is owed to China Exim Bank, while reserves remain below the currency board's monetary base	Debt is projected to fall to about 62% of GDP in 2026 under consolidation, with a China Exim moratorium to 2027; dollar-based structures limit currency exposure

Issue	Potential Impact	Possible Mitigation
High electricity costs	Commercial power costs about 25 US cents per kWh against an African average of 14 cents, the largest single cost for many businesses	Private solar and self-generation offer savings and are themselves a major investment opportunity, with reforms to raise self-generation limits under way
Governance and contract enforcement	Djibouti ranked 127th of 180 on the 2024 Corruption Perceptions Index, and the 2018 termination of DP World's Doraleh concession remains in arbitration	Use ICSID and New York Convention protections, bilateral investment treaties, MIGA or DFC cover and clear free-zone contracts
Skills and access to finance	Unemployment was 25.9% in 2024, and skills gaps and limited SME finance constrain local hiring and supply chains	Partner with World Bank and AfDB skills and private-sector programmes; invest in training as part of project plans

INVESTOR RISK NOTE

Djibouti's risk profile reflects a stable, dollar-anchored hub economy with a consistent growth record, averaging 5.3% a year from 2016 to 2024 and an estimated 6.5% in 2025. President Ismail Omar Guelleh, in office since 1999, was re-elected for a sixth term in April 2026, which signals policy continuity around the National Development Plan 2025–2030. The main considerations are concentration on port services and Ethiopian trade, external shipping disruption in the Red Sea and Gulf, competition from regional ports and a debt stock that is largely owed to bilateral lenders. Each is being addressed: fiscal consolidation and a China Exim moratorium are bringing debt down, the IMF expects Ethiopian demand to offset trade diversion, and Djibouti's ports absorbed diverted Gulf traffic in 2026 without congestion. Investors should take international legal advice on contract structure, using ICSID, bilateral treaties and political-risk insurance, and should build freight and energy-cost scenarios into planning, while recognising that the dollar peg and free repatriation remove much of the currency risk found elsewhere in the region.

MARKET ACCESS

Djibouti has been a WTO member since 31 May 1995 and belongs to COMESA, the African Union, the League of Arab States and IGAD. Its location on the Bab el-Mandeb Strait, linking the Red Sea with the Gulf of Aden and the Indian Ocean, places it on the main Asia–Europe shipping lane, and its ports are Ethiopia's principal sea outlet. Exports are dominated by re-exports, with Ethiopia taking 76.5% in 2023, while China (31.7%), India (12.1%) and the UAE (9.6%) are the leading import sources. The Addis Ababa railway, jointly managed with Ethiopia since 2024, carries about 14% of corridor cargo, and eight submarine cables connect Djibouti to Asia, Europe and Africa, giving it a strong position as both a physical and a digital gateway to the Horn of Africa.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Ismail Omar Guelleh)	Sets national strategy, including the National Development Plan 2025–2030 and Vision 2035; re-elected for a sixth term in April 2026	Primary reference point for Djibouti's strategic and diplomatic direction
National Investment Promotion Agency (NIPA)	Promotes private investment and runs the Guichet Unique one-stop shop for registration and incentives	Standard first point of contact for market entry and Investment Law incentives
Djibouti Ports and Free Zones Authority (DPFZA)	State body managing the ports, airport and free zones, chaired by Aboubaker Omar Hadi	Essential counterpart for any port, logistics or free-zone investment
Central Bank of Djibouti (Banque Centrale de Djibouti)	Operates the currency board that fixes the franc to the US dollar and supervises the banking sector	Relevant for banking, currency and repatriation matters
Ministry of Economy and Finance (Minister Ilyas Moussa Dawaleh)	Leads fiscal policy, debt management and relations with the IMF, World Bank and AfDB	Key interlocutor on public–private partnerships, incentives and development finance

Actor	Why It Matters	Waverley Engagement Angle
Ethio-Djibouti railway (joint management)	Operates the 753 km Addis Ababa–Djibouti line, jointly managed by the two governments since 2024	Counterpart for rail logistics, dry-port and corridor investments
Djibouti Telecom	State-owned telecoms operator at the centre of Djibouti's submarine-cable and connectivity infrastructure	Key partner for data-centre and digital-infrastructure opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Djibouti Chamber of Commerce, established under Law No. 179 of 2002, is the main domestic business association, and NIPA provides structured outreach to foreign investors. The World Bank has an active programme of 13 projects with about $483 million in IDA financing, including a $25.75 million Program-for-Results approved in March 2026 for diversification and private-sector growth, and its 2026 Country Private Sector Diagnostic maps opportunities in solar, data centres and tourism. The African Development Bank's 2026 Country Report focuses on mobilising large-scale development finance, and MIGA has backed landmark projects including the Doraleh Container Terminal and the Red Sea Power wind farm. The US DFC can finance private investment, UNDP's SDG Investor Map highlights investable opportunities, and the many international companies operating in the DIFTZ are a practical source of market intelligence.

INVESTOR PROFILE BEST SUITED

Djibouti suits investors seeking a stable, dollar-linked platform for trade with Ethiopia and the wider Horn of Africa: logistics, warehousing and shipping-services investors positioned around Doraleh and the Ethiopian corridor; manufacturers and distributors using DIFTZ incentives to serve East African markets; renewable-energy investors, given high power costs and a World Bank estimate of up to $390 million of off-grid solar potential; digital-infrastructure investors drawn by eight submarine cables and data-centre capacity nearing full utilisation; and tourism and hospitality investors developing Djibouti's distinctive natural assets. DFIs and investors comfortable with structured contracts and political-risk cover are best placed to lead in larger infrastructure projects.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage NIPA and DPFZA on entry structure
Open dialogue with the investment agency and the ports and free zones authority to compare Investment Law incentives with free-zone status for your activity.

STEP 2: Secure legal protections from the outset
Take international legal advice and use ICSID and New York Convention provisions, bilateral treaties and MIGA or DFC cover in contract structures.

STEP 3: Build freight and energy-cost scenarios into planning
Model Red Sea and Gulf shipping scenarios, drawing on 2026 experience in which Djibouti's ports absorbed diverted traffic, for any logistics-dependent investment.

STEP 4: Position for Ethiopian corridor growth
Assess rail, dry-port, warehousing and Tadjourah opportunities linked to Ethiopia's expanding trade and joint infrastructure projects.

STEP 5: Explore energy and digital diversification opportunities
Use the World Bank's 2026 private-sector diagnostic to target off-grid solar, self-generation and data-centre projects as reforms are implemented.